CSIS JAPAN CHAIR

Japan Daily Brief

Wednesday, November 11, 2026

1,806 words · 7 min read

RE: BOJ rate-hike signals intensify · China-Japan summit blocked at APEC · Nuclear sub option surfaces · JGB yields jump

NIKKEI 225	USD/JPY	BRENT	BOJ RATE
61,248.59	159.10	$92.69	1.00%
▲ +0.28%	▲ +0.47%	▼ -5.73%	

TOP STORIES

CHINA-JAPAN

China-Japan summit unlikely at APEC as Beijing maintains diplomatic pressure over Taiwan remarks

Multiple Kyodo sources report Beijing has not confirmed a formal Takaichi-Xi bilateral at the APEC summit in Beijing, with Japan potentially the only major economy whose leader fails to meet President Xi on the sidelines. Global Times simultaneously ran commentary labeling Japan's outreach as insincere given Tokyo's refusal to retract PM Takaichi's Taiwan-related remarks from one year ago.

KYODO NEWS

ECONOMY-BOJ

BOJ October minutes show multiple members called for near-term rate hike as underlying inflation hits 2%

The Bank of Japan's October meeting summary shows multiple board members pushed for earlier rate hikes, with the FT reporting the internal debate has shifted from whether to hike to the pace and timing of future increases. Bloomberg assessed the summary as signaling a 'good chance' of a near-term hike, while Reuters separately noted a market rout is testing the BOJ's upbeat view of financial conditions.

REUTERS

DEFENSE

Japan ruling bloc to discuss nuclear subs ahead of security papers review

The LDP-led ruling coalition is expected to deliberate on possessing nuclear-powered submarines as one option in the ongoing review of Japan's Three Strategic Documents, per Mainichi. A separate Nikkei Asia report confirms Japan plans to incorporate a denial-defense concept into the revised security papers.

MAINICHI

POLITICS-DIET

Japan top court rules 2025 upper house vote gap in unconstitutional state

Chief Justice Yukihiko Imasaki ruled the up to *3.13-fold* vote-weight gap in the July 2025 upper house election constituted an unconstitutional state, maintaining pressure on the Diet to redraw electoral boundaries. The court dismissed requests to invalidate the election itself.

MAINICHI

ECONOMY-BOJ

JGB yields jump tracking US Treasury selloff as BOJ rate-hike expectations cap yen upside

Japan Government Bond yields rose sharply tracking a US Treasury selloff, with the 10-year JGB at *1.50%*. Dollar-yen held in the 158 range as BOJ rate-hike expectations simultaneously capped yen weakness.

BLOOMBERG

DEFENSE

Japan to include denial defense in revised security documents

Japan's government plans to incorporate a denial-defense posture into its revised National Security Strategy, National Defense Strategy, and Defense Buildup Program, per Nikkei Asia. The revision is running concurrently with ruling-bloc discussions on nuclear submarine acquisition.

NIKKEI ASIA

STAT OF THE DAY

3.13x

Vote-value disparity in Japan's 2025 upper house election

Japan's Supreme Court ruled the disparity unconstitutional but dismissed requests to invalidate the election results.

Japan top court rules 2025 upper house vote gap in unconstitutional state — Mainichi

JAPANESE GOVERNMENT

KANTEI/PM · CABINET · MOFA · MOD · METI · MOF · BOJ · DIET · WEDNESDAY, NOVEMBER 11, 2026

PM Watch: PM appeared today · 0 day(s) since last confirmed appearance — PM Takaichi issued formal avian influenza emergency instructions to relevant ministries at 13:40 on November 11, per the Kantei.

官邸 · PRIME MINISTER'S OFFICE (KANTEI) · *Prime Minister Sanae Takaichi*

PM issues avian influenza emergency instructions

Prime Minister **Sanae Takaichi** issued formal instructions to relevant ministries at 13:40 on November 11 in response to an avian influenza case, per the Kantei.

→ Kantei ↗

防衛省 · MINISTRY OF DEFENSE (MOD)

Japan-Kazakhstan defense authority bilateral consultations held

MOD announced the conclusion of Japan-Kazakhstan bilateral defense consultations, part of Japan's ongoing effort to deepen security dialogue with Central Asian partners.

外務省 · MINISTRY OF FOREIGN AFFAIRS (MOFA) · *State Minister for Foreign Affairs Nakasone Yasutaka*

G7 Foreign Ministers' Meeting in Paris — sessions on Middle East stability and Ukraine support

MOFA published overviews of Session 3 (Middle East stability) and Session 4 (Ukraine support) from the G7 Foreign Ministers' Meeting in Paris, confirming Japan's participation in multilateral coordination on both files.

→ MOFA ↗

DIET SESSIONS / LDP

LDP

Defense Minister Koizumi pledges full support for Takaichi in LDP presidential race

Defense Minister **Shinjiro Koizumi**, citing continuity, stated he would 'fully support' PM Takaichi if she seeks reelection as LDP president next year — a declaration that addresses speculation about intra-party rivalry ahead of the leadership contest.

GOVERNMENT PANEL

Panel unveils age-based guidelines on children's internet use

A Japanese government panel published age-based guidelines on children's internet use, part of the broader digital-safety regulatory effort under the Ministry of Internal Affairs and Communications.

PUBLIC SENTIMENT & APPROVAL POLLING

POLLSTER	APPROVE	DISAPPROVE
NHK · Nov 11, 2026	**53%**	**32.1%**
JNN · Nov 2, 2026	**64.9%**	**32.5%**
ANN · Oct 19, 2026 **· 23d ago**	**47.1%**	**33.3%**
Asahi · Oct 19, 2026 **· 23d ago**	**50%**	**35%**
Kyodo · Oct 19, 2026 **· 23d ago**	**49.1%**	**33%**
FNN · Oct 19, 2026 **· 23d ago**	**62.6%**	**32.3%**
Yomiuri · Oct 19, 2026 **· 23d ago**	**57%**	**30%**

Discourse: Defense Minister Koizumi publicly declared support for PM Takaichi's LDP presidential reelection bid, addressing reported intra-party concerns about internal opposition as her approval rating sits at a record low of 42.4% in the Jiji poll.

Poll tracker: **Observing Japan approval-rating aggregator →**

BUSINESS & ECONOMY

FINANCE · NIKKEI ASIA · JAPAN TOBACCO INTERNATIONAL

Japan Tobacco shares tumble on fears of *$8 billion* Russia loss as Moscow expands seizure

Japan Tobacco International shares fell sharply on fears of an *$8 billion* loss following Russia's expansion of temporary administration orders to cover all JTI entities under a Putin presidential order. Russian Security Council Deputy Chairman Dmitry Medvedev commented sarcastically on the share decline via TASS.

TECH · WASHINGTON POST · SOFTBANK GROUP

SoftBank Group sinks into losses as AI investment hopes falter

SoftBank Group reported losses as the company's AI-driven investment portfolio underperformed, per The Washington Post. The result marks a setback for SoftBank's Vision Fund strategy centered on AI-linked bets.

AUTO · NIKKEI ASIA · TOYOTA MOTOR CORP

Toyota to manufacture and sell kei minitrucks in the US next year

Toyota plans to produce and sell Japan-style kei minitrucks in the United States starting next year, targeting a growing enthusiast market; the NYT reports President Trump has expressed interest in the vehicles. The move is notable given ongoing US-Japan auto trade dynamics.

ENERGY · NIKKEI ASIA

Fuel prices drive Japan and Europe electricity futures to *4-year high*

Rising fuel prices have pushed Japan and European electricity futures to their highest levels in four years, per Nikkei Asia. The surge adds pressure to Japan's energy security planning and its push to expand nuclear and renewable capacity.

TECH · NIKKEI ASIA

Japan's Akita AI data center seen anchoring regional tech hub and boosting local tax revenue

An AI data center in Akita Prefecture is expected to anchor a regional technology hub and generate substantial local tax revenue, per Nikkei Asia. A separate Japan Times report notes that Japan is not immune to public backlash against data center construction, highlighted by US midterm election results.

SEMICONDUCTORS · NIKKEI ASIA · TERAFAB

Musk's Terafab chipmaking project lines up Japan suppliers

Elon Musk's Terafab chipmaking project is securing Japanese component suppliers, per Nikkei Asia, adding a new node to US-Japan semiconductor supply-chain linkages beyond the TSMC Kumamoto and Rapidus frameworks.

REGIONAL PRESSURE WATCH

Normal — 32 items (26 Japanese government, 6 adversary signal)

CHINA

Beijing has not confirmed a formal Takaichi-Xi bilateral at the APEC summit, with Kyodo reporting such a meeting is unlikely amid continued tensions over PM Takaichi's Taiwan remarks; Global Times simultaneously published commentary calling Japan's outreach 'insincere' and labeling Tokyo's posture as refusing to correct mistakes. The Chinese embassy separately urged Japan to 'severely punish' the perpetrator of a break-in at the Chinese embassy in Japan.

NORTH KOREA

North Korea claimed a successful test of a new high-speed torpedo system and announced plans for early deployment next year, per Stars and Stripes; G7 Foreign Ministers meeting in Paris separately urged joint action against North Korea's nuclear and cyber threats.

RUSSIA

Russia's expansion of temporary administration to all Japan Tobacco International entities under a Putin presidential order remains the dominant bilateral economic-coercion signal; Russia's Medvedev commented

sarcastically on the resulting JTI share drop via TASS. The detention of Hokkaido Shimbun journalist Yuki Imai by Russia's FSB in Sakhalin on espionage charges remains unresolved.

Senkaku / ECS: No new China Coast Guard intrusion or PLA naval activity in the Senkaku territorial waters or contiguous zone is reported in today's Tier 1 or Tier 4 data; baseline CCG patrol presence carries forward.

> *"Japan's reported outreach push at APEC while refusing to correct mistakes shows insincerity amid Taiwan-related row"*
>
> Global Times (Chinese state media, citing unnamed expert) · Japan's reported outreach push at APEC while refusing to correct mistakes shows insincerity amid Taiwan-related row: expert — Global Times

Bottom line: Beijing's diplomatic blockade of PM Takaichi at APEC is consolidating — with no Takaichi-Xi meeting confirmed and Chinese state media framing Japan's outreach as bad-faith — while North Korea's new high-speed torpedo system and Russia's escalating JTI asset seizures sustain a multi-vector pressure picture heading into the Beijing summit.

U.S.-JAPAN RELATIONS

ALLIANCE · BLOOMBERG JAPAN

Japan watches for signals of change in Trump foreign policy priorities following US midterm elections

Tokyo is monitoring shifts in US foreign policy priorities following the midterm congressional elections, with Japanese officials assessing how the new Congressional leadership configuration affects the alliance and ongoing trade negotiations. US Republicans elected new Congressional leadership this week.

BASING · MOD JAPAN

US-Japan Joint Committee agreement published; Iwakuni-to-Misawa training relocation confirmed

MOD published a US-Japan Joint Committee agreement alongside an announcement of a training relocation from Iwakuni Air Station to Misawa Air Base under the ongoing US force realignment framework. The relocation is part of the established USFJ posture-adjustment process.

INDO-PACIFIC PARTNERS

SOUTHEAST ASIA · VN EXPRESS RE JAPAN

Vietnamese President To Lam meets Japanese Emperor Naruhito

Vietnamese President To Lam met with Japanese Emperor Naruhito as part of his state visit to Japan, per VnExpress, following the Japan-Vietnam summit and Joint Vision Statement issued with PM Takaichi.

SOUTHEAST ASIA · LOS ANGELES TIMES

Japan to provide coastal radar and drones to the Philippines under *$27 million* deal

Japan is set to supply the Philippines with coastal radar systems and drones under a *$27 million* security assistance deal, extending Tokyo's defense equipment transfer program in Southeast Asia.

SOUTHEAST ASIA · NIKKEI ASIA

Japan to push for trade transparency rules at APEC summit, eyeing China's non-market practices

Japan plans to advocate for trade transparency language at the Beijing APEC summit, specifically targeting China's opaque industrial subsidies and non-market practices, per Nikkei Asia.

AUSTRALIA · METI STATEMENTS

UK and Japan sign floating offshore wind industrial compact targeting *£9 billion* in investment

> The UK and Japan signed an offshore wind industrial compact targeting *£9 billion* in investment for floating offshore wind development, per multiple energy industry reports covering the METI-led agreement.

UPCOMING

Nov 15

APEC Summit opens in Beijing

Japan is pushing for trade transparency language at the summit. A Takaichi-Xi bilateral is reported by Kyodo as unlikely amid ongoing Taiwan-related tensions, leaving Japan potentially the only G7 leader without a Xi meeting at the gathering.

Nov 19

Asahi previews possible US-China-Russia leaders' encounter at APEC

An Asahi article flagged for November 19 distribution previews the possibility of a historic US-China-Russia trilateral leaders' encounter on APEC sidelines — a development with direct implications for Japan's diplomatic positioning.

Dec 1

Three Strategic Documents revision — ruling bloc consultations continue (estimate)

LDP-led discussions on nuclear submarine acquisition and denial defense are ongoing as the government works toward a revised National Security Strategy, National Defense Strategy, and Defense Buildup Program. No hard completion date in today's articles.

Dec 20

MOD defense budget request — Cabinet draft budget cycle (recurring, estimate)

Japan's annual defense budget Cabinet draft is expected in late December. The Three Strategic Documents review and nuclear submarine discussions will shape the submission.

Mar 31

Current Host-Nation Support Special Measures Agreement expires

The existing agreement runs through March 31, 2027, at approximately ¥211 billion per year. Renegotiation posture will be shaped by USFJ realignment progress and the broader alliance management picture.

CSIS Japan Chair

JAPAN DAILY BRIEF

Washington, D.C.

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